BUSINESS DATA MANAGEMENT

Lecture01

Economics Introduction

Hello all, my name is Ashwin Baliga and I'm a faculty member in marketing and sales at ESX School of Management, Paris, France. So in this video, I'll be providing you with an overview of economics. We would not be going into depth, but some of the key concepts with respect to economics would be discussed in the first video. Now, before we start, let's try to understand the difference between needs, wants, and desire.

Now you might have a question: what is a need? Now needs are essential for survival and well-being. For instance, for instance, food, clothing, shelter, and let's say healthcare. One cannot survive without these basic requirements.

So this is what needs are. This is what needs are. Now that we know what needs are, the next thing is what are wants. Once the basic needs are met or fulfilled, our aspiration goes up, right? So what happens once we have the basic needs?

We start thinking of something next. And that is where wants come. And wants are known to enhance the quality of life. So for example, you can think of entertainment, travel, etc.

So this is what wants are. But we think of these wants only once our basic needs are fulfilled. Now the third thing is desire. So the difference between wants and desire is a form of affordability.

So needs are very, very basic needs. Want you could think of a specific need. And then we have something called as desire, which is the only difference between a want and a desire is that there is a form of affordability. So for instance, if we want to buy certain items and we are unable to, let's say we may not be able to, we may not have enough funds to purchase this. So that kind of explains as to what kind of desire means, right?

We wish to buy a few things, but we may not have enough funds to purchase them. Now let's try to, now let me introduce, now let me introduce economics to you. Economics, this is introducing economics. Now, human beings, which is us, have what we call infinite wants. Human beings, all of us have infinite wants.

And this is also referred to as insatiable wants. Human beings have wants. All of us have wants. Once our basic needs are fulfilled, we have wants. And all of us, all human beings have infinite wants.

And these infinite wants are referred to as insatiable wants. Now what does this mean? So you may ask me what does this mean? This means that we humans are not satisfied with what we have and we always want more. So this is what is the meaning of infinite wants.

That we are never satisfied with whatever we have and we always want more. Now this is a universal belief among all. Be it economists. Economists are those who study economics. We'll come to the definition of economics later.

And all the people as well. And this is not based on any evidence or scientific testing. But people assert that This is true, okay? So this is done.

So what happens is that human beings have infinite wants, which is also referred to as insatiable wants. Now, what does this mean? That this only indicates that we humans are not satisfied with what we have and we always want more. Now, then comes a key question. Does this mean that human beings are selfish?

Human beings are selfish. The answer is not necessarily. This does not indicate that human beings are selfish because everybody has infinite wants. Now, why do I make this statement is because human beings. As human beings, we also they also think of others.

And also wish others to have more. OK, we are also concerned about others. We also want others to have more as well. And this shows the positive side of human beings. This shows the positive side of human beings.

So this is what it is. So what we have discussed until now is that human beings have wants and they are infinite in nature. Infinite means we are not satisfied with what we have and we always want more. And this is a universal belief among everybody, which is not based on scientific testing, but people assert that this is kind of true. So does it indicate that human beings are selfish?

And I said that is not necessarily the case. And why is this the case? It is because we also think of others and we also wish others to have more. This kind of shows the positive side of human beings. Now I told you that

in the opening statement that human beings have infinite wants. What does wants refer to, right? What does wants refer to? So we have discussed needs, wants, and desires, but again, let's come back to what does this wants refer to? Think of wants as the goods and services

that individuals desire, say, food, clothing, shelter, food, clothing, shelter, and anything else that enhances the quality of life. So this is what we mean by wants, right? So this is what is known to enhance the quality of life. So think of these wants as goods and services. When you go ahead in week three, you will know what is the difference between product and service.

But these wants are those goods and services which individuals desire and anything else that is known to enhance the quality of life. Now, the next question is, How to produce these goods and services is the next question. Now that we know this, the next question is how do we produce these goods and services? Now to produce goods and services, we need something called resources.

And these resources tend to be scarce in nature. What do you mean by scarce in nature? Scarce in nature is they are short in supply or which means there is a shortage. Is it okay? So what we understood from the opening discussion is that human wants are unlimited or infinite but the resources to meet these wants are scarce,

or what we call as less. Okay, so this is what we have understood from the opening paragraph. Now the scarcity of resources implies that there are constraints, which means constraints refer to limitations. There are constraints that refer to limitations. on the goods and services that can be produced.

On what goods and services can be produced? Because goods and services are produced by resources. And if there are resource constraints, there are resource limitations. So, you know, there are limitations on what? When there are limitations, you also have limitations on what you can produce and what human wants could be ultimately,

let's say satisfied. And what human wants could be ultimately satisfied. So this is what it is. So the first definition of economics is economics is the science of constrained choices.

So this is the first definition of economics. So economics is nothing but there are many definitions. So based on the discussion that we have had until now, the first definition is economics is the science of constrained choices or Economics is the science that deals with allocation of scarce resources, Allocation of scarce resources to meet the unlimited human wants.

So I hope this kind of provides you with an understanding of what economics is. Now what happens next is, economists classify the goods into two types. There are two types. They say that there are two types of goods.

The first is economic goods. And the second is what we refer to as free goods. Now let's try to understand what economic goods are. Now, economic goods are those goods that are scarce in nature. Most of the resources that are used to produce the goods are always scarce in nature.

The second thing is what is referred to as free goods. Now, free goods refer to those goods where there is enough supply to meet the human wants. For example, think of this as air. Okay, so this is what, for example, air.

So this is available free in supply, which means what we call as every human want, right? That means every human want. So the next question that arises is, if people do not pay for the goods, if people do not pay for the goods, can we call them free goods? Is the next thing that you might ask me. If people do not pay for the goods, can we call them free goods?

And the answer is not necessarily. And I shall explain why this is the case. So now we understand that economists classify the goods into two types. The first is what we refer to as economic goods. Economic goods are those goods that are scarce in nature.

And then you have what we refer to as free goods. Free goods are those goods where there is enough supply to meet, let's say, every human want, every human want, for instance, air. But the next question is, if people do not pay for the goods, can we call them free goods? The answer is not necessarily. For example, government.

What government does is, government has some programs for the poor people, programs for poor people. Every government, any government, if you look at this, has some programs for poor people. Let's say free hospitalization. Now, this means that poor people do not have to pay for the hospitalization charges or hospitalization or any medical facilities. So does it mean that it is a free good?

The answer is no. It is not a free good. This is an economic good. And not a free good and not a free good because you allocate these scarce resources to provide healthcare. So this is what we refer to.

This is why, you know, if people do not pay for the goods, we cannot say that these are free goods. Why is this the case? Because in this particular, in the context of this example, Government has certain plans where they bring in certain programs for poor people, let's say free hospitalization. So this is an economic good because you still allocate scarce resources, which is to serve them, to provide them what we call as healthcare.

Now that we have understood this, the next thing is, I said that to produce goods and services produce what we call as goods and services. We need what we call as resources. We need what we call as resources. If you recollect this, we need resources.

Resources could be land. It could be labor, raw materials, etc. The question is, where do we get these resources from? Where do you get or where do we get these resources from?

The answer is, we get these resources from Mother Earth, where we stay and live. So this is where we get our resources from. We get it from our mother earth where we stay and live. And as you know, resources are always scarce, which means that they are short in supply, but human wants are what we call as infinite, unlimited. Economists divide earth's scarce resources

into four factors of production. Economists, what they do is they divide the scarce resources of the earth into four factors of production. Now you might know what these four factors of production are. The four factors of production are one is land. Then you have what we call labor, which I shall explain.

The third one is what we call capital. And the fourth one is what we call enterprise. So these are the four things that we do have. This is how earth resources are divided. Now I said that there is something called production.

And what is this production? Production is which you might have studied that you have a raw material, you convert them into finished product. That is what you call production. Or In economics, it is any activity carried out that satisfies a human want.

So this is what is referred to as production. Now, what is the example of land? Now, the land refers to scarce resources. Land refers to scarce resources. Let's say such as oil or sea, etc.,

So this is what land refers to. Labor or labor are those who are available to work. So labor are those people who are available to work, who have the knowledge,

the intelligence, etc. They're available to work. The third thing is there is something called as capital.

Now, what is this capital? Capital refers to goods that are used to produce other goods. Goods that are used to produce other goods is what we refer to as capital. For example, you can think of capital as buildings and machineries. So this is what we refer to as capital, buildings and machineries.

And then finally, you have the fourth factor, which is enterprise. Think of them as, say, entrepreneurs. I hope you know what entrepreneurs are. Entrepreneurs who combine, who kind of combine the three factors, which is, what are the three factors above? Land, labor, and capital.

to produce goods and services. Is it okay? So this is what is done by, this is what enterprise does. There are entrepreneurs who own things, who kind of combine the three factors to produce goods and services. So what happens, what is the gist of this is that land plus labor plus capital

plus enterprise when combined, okay? Goods and services, when it is combined, goods and services are produced, when combined, results in production. Let me, this is the wrong usage of the word. The results in production of goods and services that meets the human wants.

I hope this kind of gives you a much better understanding as to how it is done. And when these goods, when these goods and services are kind of supplied, when these goods and services are supplied, we say production has taken place. Is it okay? At the beginning, I had said that production is conversion of a raw material into finished products. There are so many activities that actually take place, various activities that happen in between, and then you have a final product, which is your goods and services.

So when the goods and services, what happens is when they are supplied, production has taken place, and that is something that meets what we call as human wants. Now that we have an understanding of this, we discuss something

next which is called as the economic problem. Now what is this economic problem? Now what we discussed until now is that human wants are infinite. Human beings tend to have wants which are infinite, but the resources that are needed

To kind of meet this unlimited human wants. The resources that are needed. To meet this human wants are always finite in nature. Or which we call as scarce.

Let me use the word scarce. Now what happens. Due to this. Now what happens because of this. Now because of this.

It so happens that, Everybody, We cannot get, we cannot get whatever we want. And thus, there is a need to carefully do an allocation of SCARCE resources.

This is what I discussed a little bit above as well when I was saying that when there is a scarcity of resources, we have limitations on what is to be produced. And what wants we will satisfy, ultimately satisfy, of the humans. So which means that if we cannot get whatever we want, we'll have to carefully do this allocation of scarce resources. We refer to this,as what we call the economics problem, the economic problem. And economics is all about tackling

this issue. So this is what we refer to as the economic problem. And economics is all about tackling this specific issue. Now that we know this, the other thing that we, now that you have an understanding of what the definition of what economics is and what economics is, some common myths, what economics is not, The first thing is the most common misconception.

The most common misconception is that economics is money. So this is the most common confusion or misconception. While, while economists study money as a topic, it is done so as it addresses what we refer to as the economic problem. Okay?

The second common misconception is that, if Your business success is guaranteed if you know economics, which is another common misconception. Now if you know economics, what happens is that, It will definitely make you a

better salesperson, but we cannot say that a business success is guaranteed. Studying it neither makes you rich nor does it actually make you poor as well.

But the understanding of this helps you actually understand the business scenarios pretty well and helps you to make the kind of decisions accordingly. Now that we know this, economics is... branched into two things. As I said, economics is a very, very big domain. And we, for sure, if we kind of discuss this economics, it is a subject in itself.

There are two branches, you know, microeconomics, which you might have heard of. And there is second thing, which is what we refer to as macroeconomics. While microeconomics kind of focuses on smaller parts of the economy, smaller parts of the economy, macroeconomics focuses on the larger economy or what we refer to as the entire economy. And in the next video, we shall understand In more detail, the difference between microeconomics and macroeconomics, for example, you might have heard of this, Trump tariffs.

What is the impact of Trump tariffs on India? So let's say that its impact, let's say on the employment rate, on the GDP. This is what we call as macroeconomics because it is a larger economy where we kind of study this as a top-down approach. Whereas what is microeconomics? We study the impact of this Trump tariffs on consumer behavior, on individuals, businesses, workers, et cetera, which is what we refer to as microeconomics, where, for instance, this is more of a bottom-up approach.

For example, another example for macroeconomics is that, If a government decides to allocate a lot of budget, let's say for education, they may allocate less budget for infrastructure. If a consumer, this is a macroeconomic example. A microeconomic example could be if a consumer spends a lot of time doing work, he or she might spend less time in what we call as you know, leisure activities.

So if you see, they're not two different subjects, they are actually interconnected. If you actually see, they're interconnected. And that's why I kind of gave you this example to kind of show that, you know, there is a connection that exists

between these two. So constrained, what we call as choices, constrained choice or optimization, constrained optimization is present both in macro as well as micro, and it is up to the decision maker to kind of make the best decision under these circumstances. So I hope that this video gives you some basic understanding of economics.

And when we come back in the next video, we shall discuss the concepts of what the difference between macroeconomics and microeconomics is in more detail and specifically focus, given the scope of the business data management project. We'll try to give you a little bit of understanding on some of the concepts which are used in microeconomics. Thank you and I look forward to meeting you in the next video.